Sebastian Ernst

London School of Economics

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GRADUATE STUDIES

London School of Economics and Political Science
MRes/PhD in Economics — 2021–present

RESEARCH FIELDS

Public Economics (primary)
Industrial Organization, Labor Economics (secondary)

REFERENCES

Professor Johannes Spinnewijn
London School of Economics
j.spinnewijn@lse.ac.uk

Professor Camille Landais
London School of Economics
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Professor Kate Smith
London School of Economics
k.e.smith2@lse.ac.uk

Professor Andreas I. Mueller
University of Zurich
andreas.mueller@econ.uzh.ch

PRIOR EDUCATION

London School of Economics and Political Science
MSc in Econometrics and Mathematical Economics, *Distinction* — 2019–2020

Technische Universität Berlin
BSc in Industrial Engineering and Management — 2016–2019

JOB MARKET PAPER

Caring What It Costs: Subsidy Design in Child Care

WORKING PAPERS

At-Risk or Responsive? Targeting in Unemployment Policy
with Andreas I. Mueller, Johannes Spinnewijn and Joost Bollens

Abstract: This paper evaluates the use of algorithmic risk profiling to direct job search support toward individuals most at risk of long-term unemployment. Using three regression discontinuity designs and rich administrative data from the Flemish Public Employment Service (VDAB) in Belgium, we address two key dimensions: whom and when to target. First, job search counseling raises employment on average, but treatment effects decline sharply with predicted risk. This reveals a fundamental trade-off between targeting those most at risk and those most responsive to intervention. Second, we find no evidence that treatment effects depreciate at the individual level, but strong dynamic selection: as spells lengthen, surviving job seekers have both higher baseline risk and lower treatment responsiveness, with opposing implications for the returns to treatment. We develop and calibrate a conceptual framework for optimal targeting that highlights the key role of the ratio of predicted treatment effects to predicted job-finding probabilities. Targeting rules combining both objects substantially outperform the status quo, yielding welfare gains nearly three times as large as those from random assignment, while targeting on risk scores alone performs worse than random assignment.

WORK IN PROGRESS

Hiring Subsidies for Older Job Seekers: Evidence from Belgium
with Joost Bollens

PUBLICATIONS

Risk Scores for Long-Term Unemployment and the Assignment to Job Search Counseling (with Andreas I. Mueller and Johannes Spinnewijn), *AEA Papers and Proceedings*, 2024.

TEACHING	**London School of Economics and Political Science**, Graduate Teaching Assistant	
	EC325 Public Economics	2024–26
	EC400 Probability & Statistics	2023, 2024, 2025
	EC2C1 Econometrics II	2023–24
	EC1C1 Econometrics I	2023
	EC2C3 Econometrics I	2022
	Technische Universität Berlin, Undergraduate Teaching Assistant	
	Introduction to Macroeconomics	2018–19
RELEVANT POSITIONS	Research Assistant, STICERD, LSE, for Johannes Spinnewijn, Camille Landais and Daniel Reck	2020–2021
SCHOLARSHIPS	LSE Economics Department Scholarship	2021–2026
PROFESSIONAL ACTIVITIES	Organizer, LSE Public Economics Seminars	2024–2025
	Organizer, LSE Economics Department Football Group	2023–2025
SKILLS	Stata, R, Python, LaTeX	
CITIZENSHIP AND RESIDENCY	Australian, German and US citizen, UK settled status	
LANGUAGES	English (native), German (fluent), Spanish (basic)	